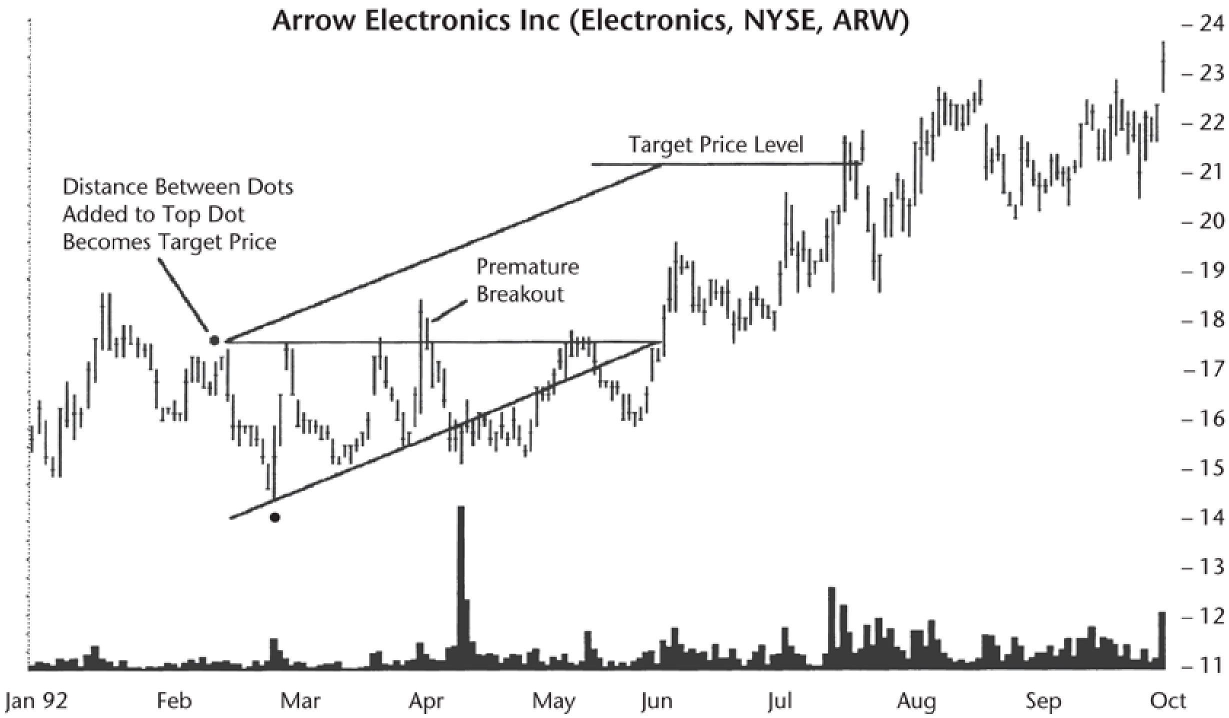

Figure 64.5 There are two ways to set a price target for an ascending triangle. Compute the triangle's height by subtracting the low from the high at the start of the triangle (denoted by the two black dots). Add the result to the price marked by the top trendline. The result is the target. Alternatively, draw a line parallel to the up-sloping trendline beginning with the left top corner of the triangle. At the point where price breaks out of the triangle, the price level of the line becomes the target.

Once you know the target, measure the distance, divide it by the current price expressed as a percentage, and compare it to the values in Table 64.3.

Using the values from our example, the distance to the target measures 3.25 and the breakout price (as our current price) of 17.63 gives 3.25/17.63 or 18%. Let's call it 20%. Table 64.3 says that in bull markets after upward breakouts, the stock will fail 49% of the time to see price climb more than 20%. So the chance of having a failed trade would be a bit less than 49% (probably closer to 45%). Flip it around (gently, don't hurt it) and we find price should reach the target about 55% of the time on average.

Wait for breakout. Thirty-seven percent of triangles break out downward, but the actual breakout direction is unknown ahead of time. If price closes above the top trendline or below the up-sloping trendline, that occurrence